DEVZARD

Commission & Net Profit Guide

Every rupee explained — what counts as a project expense, what never does, eight worked examples, payout timing and how to verify any number we send you.

Sales Partnership Program · 70 / 30 profit sharing

Devzard — Let's Build Together.

MONEY GUIDE

Commission & Net Profit Guide

How the 70 / 30 split is calculated, verified and paid — explained line by line.

1. The formula

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  Gross Client Revenue  (contract value, excluding sales tax)
– Direct Project Expenses  (agreed, documented, project-specific)
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= Net Profit
× 30%  =  Sales Partner Commission
× 70%  =  Devzard Share
```

Two things follow from this formula, and they are the two things that matter most:

1. **Your commission moves with profit, not with price.** A big project with heavy third-party costs can pay less than a smaller project with light costs.
2. **Every rupee of unnecessary expense costs you 30 paisa.** Every rupee of discount you invent costs you 30 paisa. Never spend money on a project, and never reduce a price, without written approval.

2. Step by step

Step	What happens	Who decides
1	Client agrees to the proposal and pays	Devzard signs with the client
2	Gross client revenue is recorded	Contract value, excluding sales tax
3	Expenses are logged with receipts as they are incurred	Devzard, with receipts kept on file
4	Net profit is calculated	Closing revenue – documented direct expenses
5	Your 30% is calculated and shown on a statement	Commission statement, per project
6	Statement is shared with you	With every payout
7	You check it. Query window: 15 days	Raise anything unclear with the team
8	Payout is sent	Within 7 business days of client payment + milestone delivery

3. What counts as a direct project expense

Only costs that **belong to that specific project** and would not exist without it. Every line needs a receipt or an invoice on file.

Deductible (reduces the profit pool)

Expense	Notes
Domain name and hosting for the project	Only the period charged to the project
Premium themes, plugins and licences	Bought for this client, licensed to this client
Stock images, video, fonts and assets	Where a licence fee is paid
Paid APIs and third-party services	Payment gateways, SMS, maps, AI credits used by the project
Outsourced / subcontracted delivery	Freelance developers, designers, copywriters, QA
Client-specific ad spend	Only where the client has not reimbursed it directly
Payment gateway and bank transfer fees	The real cost of collecting the client's money
Physical costs for the project	Printing, courier, hardware purchased for the project

Never deductible (Devzard absorbs these in its 70%)

Expense	Why
Devzard salaries and team time	Our cost of doing business
Office rent, utilities, internet	Overhead
Software subscriptions and internal tools	Overhead
General marketing and advertising of Devzard	Overhead
Rework caused by our own mistakes	Our problem, not yours
Penalties paid to a client because Devzard delivered late	Added back before your commission is calculated
Anything not agreed in advance, above the pre-approval threshold	See rule 4 below

4. The four expense rules

Rule 1 — Project-specific. If the cost would exist without this project, it is not deducted.

Rule 2 — Documented. No receipt, no deduction. You may ask to see the receipts for any project.

Rule 3 — The Big Expense Rule. Any single project expense above **PKR 25,000**, or any expense that changes the price of the project, must be approved by you in writing (WhatsApp counts) before it is committed. Silence is not approval — we will ask, and we will wait.

Rule 4 — Shared costs are apportioned fairly. A tool used across three clients is charged one third to each. Apportionment is shown on the statement.

5. Worked examples

Example 1 — Landing page *(the reference deal)*

Line	PKR
Client revenue	20,000

Line	PKR
Domain + hosting (1 year)	4,000
Premium template licence	1,000
Total direct expenses	5,000
Net profit	**15,000**
Devzard share (70%)	**10,500**
Sales partner share (30%)	**4,500**

Example 2 — Business website

Line	PKR
Client revenue	120,000
Domain + hosting (1 year)	12,000
Premium theme licence	18,000
Stock imagery	4,000
Bank / gateway fees	2,400
Total direct expenses	36,400
Net profit	**83,600**
Devzard share (70%)	**58,520**
Sales partner share (30%)	**25,080**

Example 3 — E-commerce store

Line	PKR
Client revenue	250,000
Hosting + SSL (1 year)	18,000
WooCommerce premium plugins	45,000
Payment gateway integration	8,000
Product photography	35,000
Outsourced development support	40,000
Gateway transaction fees	6,250
Total direct expenses	152,250
Net profit	**97,750**
Devzard share (70%)	**68,425**
Sales partner share (30%)	**29,325**

Example 4 — Custom web application

Line	PKR
Client revenue	650,000
Cloud hosting (12 months)	60,000
Senior subcontractor	220,000
Licences and paid APIs	35,000
Design assets	15,000
Total direct expenses	330,000
Net profit	**320,000**
Devzard share (70%)	**224,000**
Sales partner share (30%)	**96,000**

Example 5 — Recurring retainer *(the compounding one)*

Line	Per month (PKR)
Client revenue	35,000
Hosting, backups and tool licences	5,000
Net profit	**30,000**
Sales partner share (30%)	**9,000**

PKR 9,000 per month, every month, while the partnership is active and the client stays. Three retainers of this size is PKR 27,000 a month before you close a single new project.

Example 6 — Milestone-based project

Client revenue 300,000, paid in three installments. Total expenses 100,000. Total partner commission: 300,000 – 100,000 = 200,000 net profit, of which **PKR 60,000** is yours. It is paid as the money and the work arrive:

Milestone	Client pays	Expenses to date	Net profit	Your 30%
Advance (50%)	150,000	40,000	110,000	**33,000**
Mid-project (40%)	120,000	45,000	75,000	**22,500**
Final delivery (10%)	30,000	15,000	15,000	**4,500**
Total	**300,000**	**100,000**	**200,000**	**60,000**

Example 7 — The unapproved discount *(why the rule exists)*

	With approval	Discounted 20% without asking
Client revenue	150,000	120,000
Direct expenses	40,000	40,000
Net profit	110,000	80,000
Your commission	**33,000**	**24,000**

A discount you invent costs you **9,000** — and it teaches the client to negotiate harder next time. If a client needs a lower number, ask us for a scoped-down version instead. Same result for the client, protected profit for both of us.

Example 8 — A project with no profit

Line	PKR
Client revenue	100,000
Direct expenses	105,000
Net profit	–5,000
Your commission	**0**

You owe nothing. You are never charged for a loss-making project. But read the expense lines before you accept it — an underpriced project is a pricing failure, not a partner failure, and we will tell you when we think a deal should be walked away from.

6. What reduces your commission — and what does not

Reduces your commission	Does not reduce your commission
Documented, approved direct project expenses	Devzard's salaries, overheads and software subscriptions
Discounts you offered without written approval	Rework caused by Devzard's own errors
Refunds or chargebacks from the client	Penalties we pay because we delivered late
Commission adjustments for a client's unpaid invoice	Your own travel, data, phone or marketing costs
Tax withheld from your payout where required by law	Sales tax, which is excluded from revenue from the start

7. Payout timeline

```
Client pays Devzard ■■■ Payment clears ■■■ Milestone delivered ■■■ Statement issued ■■■ Pa
yout within 7 business days
```

- Commission on an invoice is payable only once that invoice is **received and cleared**.
- Multi-milestone projects are paid milestone by milestone.
- Payouts are made by bank transfer (IBFT / Raast) to the account named in your agreement, on the last day of a payout run, or sooner.
- **Minimum payout: PKR 5,000.** Smaller balances carry forward to the next payout.
- A short statement accompanies every payment: project, client revenue, expenses, net profit and your share.

8. Verification and disputes

You should never have to take our word for a number.

1. **Ask for the working.** Any project, any time. You get the revenue figure, each expense line, and the resulting split.
2. **Ask for receipts.** Available for every deducted expense without argument.
3. **Raise a query within 15 days** of receiving a statement. Disputed amounts are held back and paid once resolved — the undisputed balance is paid on time regardless.
4. **Escalate.** Unresolved after 15 more days? It goes to the founders, in writing, and the partnership agreement's dispute clause applies.

9. Optional: performance bonus

Not part of the base program. Switch it on if you want to reward your best partners — or delete this section entirely.

An optional add-on that pays over and above the standard 30%, on verified closed revenue:

Tier	Closed revenue in a rolling 12 months	Base	Bonus
Tier 1	Up to PKR 1,000,000	30%	—
Tier 2	PKR 1,000,001 – 3,000,000	30%	+3% on net profit above tier 1
Tier 3	PKR 3,000,001 – 7,500,000	30%	+5% on net profit above tier 1
Tier 4	Above PKR 7,500,000	30%	+7% on net profit above tier 1

The bonus is applied to the **partner share only** and is paid at the end of each rolling year. Keep it, or ignore it — the 70/30 split works exactly the same without it.

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10. The calculator

`exports/Devzard-Commission-Calculator.xlsx` is a working spreadsheet, not a picture of one:

Sheet	What it does
How to use	Two-minute setup guide and the published rates
Calculator	Enter client revenue and expense lines; it returns net profit, Devzard share and your 30% live
Examples	Every worked example above, with live formulas you can edit
Payout Tracker	Log closed deals, track statements, mark payments received, see your running total
Rates & Rules	The deductible / non-deductible list and the four expense rules, on one page

Open it in Excel, Google Sheets or LibreOffice. Every figure is a formula — change the split, the revenue or any expense line and the whole model updates.